

Deal Structuring & Negotiating Best Practices



Main Reasons to Plan and Prepare for Negotiations

**Prevent
Reactive
Discounting
Under Pressure**

**Maximize Value
Creation vs.
Value Claiming**

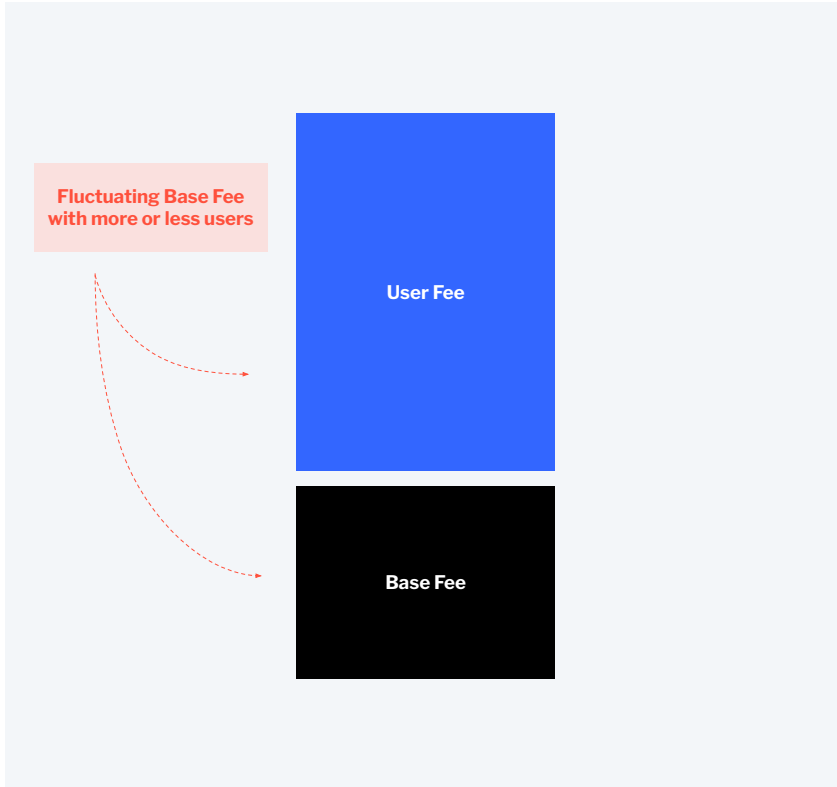
**Control the
Narrative and
Anchor
Effectively**



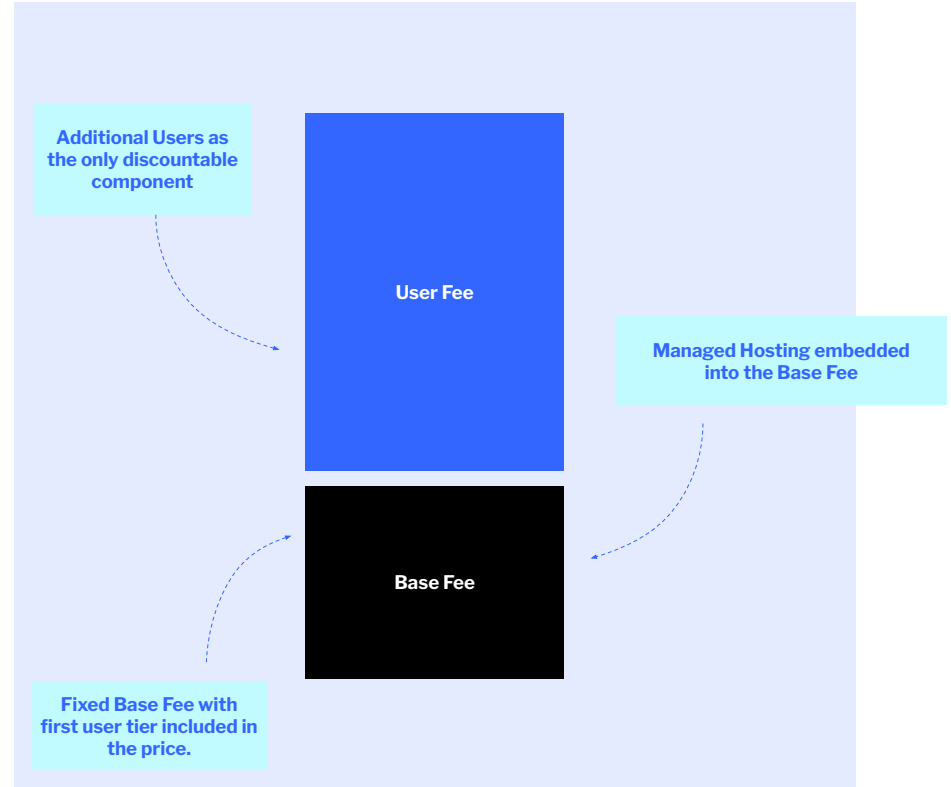
Protect Annual Contract Value

....but let's take a step back

OLD MODEL



NEW MODEL



Editions | Retail Banking

Example

Essential Edition

Dashboard	Statements	Card Management
Accounts	Payments	Loan Management
Transactions	Contacts	Notifications
Message Centre	My Profile	Identity Essential
Assist Essential	Engage Essential	QR Payments

Premium Edition

TVP Multi Segment	Virtual Cards	Spend Insights
Personal Dashboard	Pockets	Shopping Center
Advanced Card Mgmnt	Budgets	Service Centre

Including all features from Essential

Signature Edition

Family Banking
Household Banking - Shared Accounts
Financial Advice (Beta)

Including all features from Essential + Premium

Base Fee	\$494,400
Included Users	20,000
Additional Users	\$6.52 - \$1.02 (Tiered)

Base Fee	\$607,360
Included Users	20,000
Additional Users	\$9.52 - \$1.39 (Tiered)

Base Fee	\$786,800
Included Users	20,000
Additional Users	\$13.12 - \$1.84 (Tiered)

3-Step Strategic Deal Framework



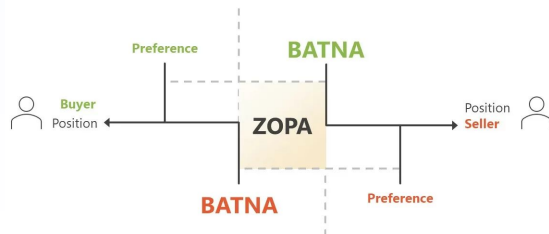
1. Preparation

- Do the Pre-Work (current BoM, AOV history, current contract terms)
- Confirm **Demand Plan** (projected vs validated demand)
- Identify Customer Scope (goals, objectives, constraints, compelling events)
- Uncover Customer Interests



2. Analysis & Strategy

- Develop **Proposal Economics** (multiple scenarios/Essentials & Premium. Or Best Alternative to a Negotiated Agreement, or Zone of Possible Agreement)
- Prepare **Negotiation & Concession strategy** (create anchor price point, plan for multiple rounds)
- Identify Risks (exec relationships, renewals impacts, future deals)
- Package the Proposal Storyline



3. Delivery

- Progress deal by continuing to align on interests
- Bi-lateral Concessions / “Give to Get”
- Plan final Exec concession
- Focus on Closing (Ask for the business, know when to “stop selling”)

9-Step Strategic Deal Framework

Proposal

Negotiation

1. Preparation			2. Analysis & Strategy					3. Delivery
Strategic Deal Prework	Demand Plan	Customer Scoping	Business As Usual Projections (for existing customers)	Proposal Scenarios & Deal Levers	Pricing Approval & Terms	Deal Economics & Proposal Value	Packaging the Proposal Storyline	Delivering the Proposal
• AOV history • Analysis of footprint & pricing • Current contract terms	• Aligned to business & programs • Segmented by firmness • Clear anchor project	• Goals, objectives & constraints • Compelling event • Buy-in on demand plan scope / Wish list	• Foundation for proposal economics • Deal Review spreadsheet , and customer facing views	• Model out multiple, plausible options • Negotiation & concession strategy	• Align pricing “asks” to customer objectives & constraints • Articulate risks to renewals/future deals	• Success, Vision, Blueprint, Value, Belief, Proposal • “Crayon math” • Quality	• Clarify objectives, and new “asks” • Drive to concession “asymptote”	• Clarify objectives, and new “asks” • Drive to concession “asymptote”
• Do your homework			• Build trust and share information • Ask diagnostic questions • Listen carefully to the other side	• Create an anchor price point	• Create multiple offers • Create a concession plan	• Progress deal by continuing to align on interests • Iterate through bi-lateral concessions • Make incrementally smaller moves to signal end of negotiations		

1. Preparation: Strategic Deal Prework

AE's Should Have a Plan

- Identify what you want out of the transaction
 - TCV/ACV
 - Terms
- Plan your deal strategy, including:
 - Initial Pricing
 - Planned Gives
 - Target End-State of the deal
- Identify and Utilize your Stakeholders
 - Identify and invest in the right people (decision makers, influencers)
- Engage both Backbase & Customer's executives early in the process



1. Preparation: Demand Plan

Goal

Align demand plan to customer initiatives, clarify level of demand firmness & sponsorship

- **Budgeted**
- Has project owner/schedule
- Foundational beachhead for constructing your larger deal

Validated
(near term)

- “Projected” demand **grows** current deal foundation & ACV
- **Must be credible**, real interest based on proof points, PoC’s
- Customer has unclear timeline, yet knows they **eventually need the solutions proposed**
- May or may **not yet be budgeted**

Projected
(future, yet valued)

- Limited exposure
- Likely includes “unconsidered needs”
- Business value **not yet understood**
- Proceed carefully or you will paint yourself into a corner
- Use **small seeding bundles** to drive the next deal

Pipeline

1. Preparation: Customer Scoping

Determine what matters most to your customer (Positions vs Interest)

Unit price, total contract value, first year spend, renewal terms, etc

Understand the need

Separate “wants” from “needs”, probe for why and who this matters to, is there funding and a sponsor who can sign

Timing

What is the compelling event to purchase now vs later

Confirm demand

Only “validated” and “projected” demand should be included in the proposals

Determine the Customer's Process

Who is the decision maker, what do they need to make their decision (their buy-in, support of influencers, approval process)

Identify true customer constraints

In-year budget, approval authority, etc



2. Analysis & Strategy: Proposal Scenarios & Deal Levers

Plan for 3 Proposals in Your Negotiation Process

1. Opening Offer

Safe, Simple, Strong

Be deliberate

Avoid unnecessary risks

Keep it simple

Start high, and credible



2. Counter Offer(s)

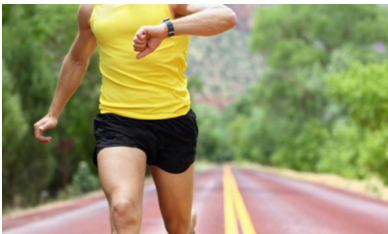
Planned, Paced, Progress

Listen to customer feedback

Address customer risks

Pace your concessions

Move in chunks



3. Closing Offer

Slow, Small, Superficial

Cease structural concessions

Signal you are done

Remain measured

Hone the appeal



2. Analysis & Strategy: Concession Strategies

		What It Is	Message It Sends
Worst	Wrecking Ball	One large concession at the end	"I'm inflexible and unwilling to negotiate in good faith"
Bad	Avalanche	Larger concession at each subsequent round	"If you keep pushing, I'll concede more"
Good	Ice Cream	Largest concession first, small thereafter	"I'm willing to negotiate, but am approaching my floor"
Best	Martini	"Ice cream" but with 0 upfront concession	"I'm serious about my first offer, but can concede some"
Worst	Lollipop/Sucker	All the concession in the first round	"Let's get this done. Take it or leave it"

				
0	3	30	0	60
0	9	18	36	0
0	18	9	18	0
60	30	3	6	0

2. Analysis & Strategy: Concession Planning

Diamond Cutting and/or Golf

Opening Offer



The First Critical Cut
or Rough Diamond

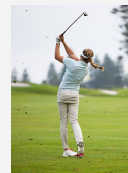


Tee Shot

Counter Offers

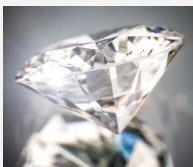


Cutting the Facets



Fairway & Approach

Closing Offer



Polishing



Putts

2. Analysis & Strategy: Common Concession Levers

Team	Lever	Description
Pricing	Pricing Discounts	Volume discounts, multi-year discounts, or other pricing structures based on usage or commitment
	Payment Terms	Extended payment term (net 30 or net 60)
	Pricing Tiers	Tiered pricing based on commitment and growth
	Renewal cap	Reduce the cap or flat renewal
	VPA/Price Holds	Volume Purchase Agreement, pre-negotiated discounts on future purchases
	Pricing Addendums	VPA/Price hold is attached to MSA, will impact all MSA contracts. Difficult to negotiate / high calorie
	Courtesy	Testing environment/sandbox, training credits, program architect during implementation (?), customer success (?)
Legal	Contract Terms	3, 5, 10 yrs
	Swap language	Re-allocate unused licenses toward another module/solution. Limit number of swaps per year (3x per year)
Marketing	Case study	External facing marketing material on joint success
	Press release	Co-sponsor external
	Speaking engagements	Take the stage together at conferences, fireside chats, podcasts
Product	Client Advisory Board	Client focus group to provide guidance on product enhancements and priority
	SLA's	Support tiers, down time thresholds
Sales Ops	License Activation	1. Buy Up-Front: Activate all users up-front at flat rate and quantity
		2. Staggered Activation: Match user activation with planned roll out schedule with no price changes
		3. Price Ramp: Activate all users up-front, but increase cost annually with higher exit price
	Stub bill	Break up annual payment into smaller parts, typically to accommodate client's budget year



2. Analysis & Strategy: Pricing & Terms

Limit Scenarios presented to the customer

- Best Practice: 2 scenarios
 - 1st scenario: Customers request (volume's, timing, product mix)
 - 2nd scenario: Our recommendation leveraging our financial levers
 - Establish an anchor point
 - Demonstrate Backbase financial levers

Leverage a 3rd scenario if required

- 3rd scenario in limited situations, or to drive a strong customer reaction
 - Negotiation stuck on unrealistic customer expectations, or
 - to show economics of a single Backbase lever

Show a 5 year time horizon

- Start with a 5 year time horizon
 - Position shorter time horizons as a concession
 - Avoid customer asking for an increased term with a lower price

2. Analysis & Strategy: Deal Economics & Proposal Value

Pricing Strategy

- Breakeven: target 12-16 months to make it appealing to CFO's
- Future Volumes: Avoid because this erodes future negotiation power. Try price holds instead!

Give To Get

- Pricing concessions require customer agreement on:
 - Timing
 - Current agreements (avoid attrition)
 - Inclusions & exclusions (product, use cases, business segments, user types, etc)
 - Contract term (lead with X years & concede to Y years as required)
 - Funding commitment & obstacles to execute on our timeline

2. Analysis & Strategy: Packaging the Proposal Storyline

1. **Our Journey / Mutual Benefits:** Anchor back to what matters most to your customer
2. **Pricing Options:** 2 is better than 3
3. **Concession History:** Remind the client of each concession provided along the negotiation
4. **Business Case:** provide the justification for the investment
5. **Case Studies:** provide reasons to believe
6. **Mutual Close Plan:** agree upon steps to complete the deal

3. Delivery: Best Practices

Plan a final Exec give

- There is often a final ask
 - Anticipate the give you will hold back. If you plan for a final give, include this in your deal strategy, and get approvals before you need it
 - “No” is an acceptable answer at this point

Capped Renewals

- Don't give away zero percent uplift
 - Make this an ask, and have this be a “give to get”
 - Emphasize this is a big ask/win

Focus on Closing

- Get agreement on next steps (signatories, procurement process & timeline, customer PTO schedule, etc)
- Know when to “stop selling”
- Don't be shy, Ask for the business once you've earned trust
- Use the Power of Silence - Extended silence during negotiations leads to better outcomes for both parties¹

¹MIT Management Sloan School: [In negotiation, use silence to improve outcomes for all](#) (2021)